

Downward Breakouts

Reversal or continuation	Short-term bearish reversal
Performance rank	3 out of 36
Breakeven failure rate	15%
Average drop	17%
Volume trend	Downward
Pullbacks	58%
Percentage meeting price target	63%

The Results Snapshot shows the important results for diamond tops. In appearance, the only difference between diamond top and bottom patterns is the price trend leading to the diamond. For diamond tops, the price trend is upward leading to the pattern. Diamond bottoms have price trending downward into them.

A review of the numbers shows that upward breakouts rank last for performance. The average rise, at 29%, is well below the 42.4% gain showed by the average chart pattern. The failure rate is high, too, ranking 33 out of 39. That's not dead last, but the patient might need a respirator.

Diamonds with downward breakouts do well as far as the average decline goes. They rank third. It's as if diamond tops are bearish patterns and an upward breakout suffers while a downward breakout thrives.

Tour

What does a diamond top look like? [Figure 24.1](#) shows a good example. This diamond signals a reversal of the prevailing upward price trend and shows the preferred behavior of a top: Price returns to the level before the diamond began (the launch price).

The reversal stands out and makes the diamond easier to find (because it's at the end of a swift uptrend). Of course, not all diamond tops act this way. Some signal a reversal of the prevailing trend and price not only retraces recent gains but continues moving down, too.